

 THE COUNCIL

COMMERCIAL
PROPERTY/CASUALTY



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Commercial Property/Casualty Market Index

Q3/2023

EXECUTIVE SUMMARY

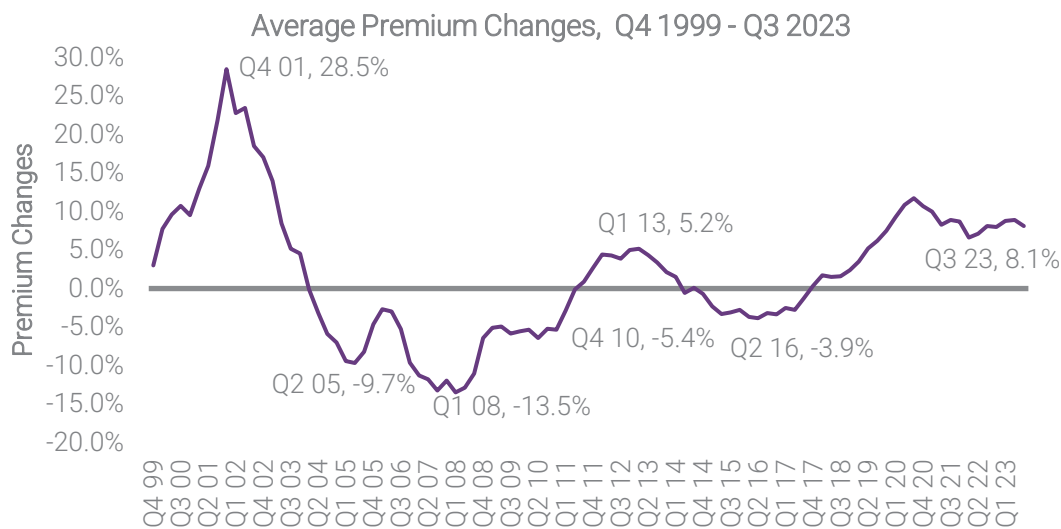
The following are key takeaways from The Council of Insurance Agents & Brokers' Commercial Property/Casualty Market Report for Q3 2023 (July 1 – September 30):

- Q3 2023 was the 24th consecutive quarter of premium increases, at 8.1%. Medium-sized accounts saw the highest increase, at 8.9%, while large and small accounts saw increases of 7.5% and 7.9%, respectively.
- Commercial property premiums continued to climb this quarter, at an average of 17.1%, the highest increase in premiums among all lines for the fourth consecutive quarter. Issues with reinsurance pricing and capacity continued to plague the line, as well as increased claim frequency and severity due to climate change, according to respondents.
- D&O premiums decreased for the first time since Q1 2017 at an average of -0.3%. Respondents did not specify why this was, though outside research suggests this was part of a trend of carriers pulling back on premium increases begun after the line's peak in 2020 and 2021.
- Client attitudes towards current market conditions were primarily negative, according to respondents. On average, 70% of respondents said their clients reported rate fatigue; at the same time, more than 40% of respondents said not only did their clients feel burdened by carrier requests for information, but they also displayed a level of mistrust towards the industry.
- Besides "driving organic growth" and "recruiting and developing talent," which almost always top the list of respondent priorities, the top respondent priority this quarter was "becoming more data driven," with 40% of respondents naming it as a top-three priority. Cleaning up existing data sets as well as augmenting them with external data was a key theme.

PREMIUM PRICING

Premiums climbed further in Q3 2023, at an average of 8.1%. Most respondents agreed that property was a major contributor to continued premium increases for all account sizes. Overall, responses tended to highlight carrier selectiveness, requests for information, and more limited underwriting capacity.

Interestingly, multiple respondents this quarter commented that carriers had pulled back on underwriting small accounts or had left the space altogether. Carriers were “non-renewing [small accounts] more than ever” due to “updated appetite and changes in underwriting guidelines,” according to one respondent from a midsize Northwestern firm. Per other responses, the shifts in appetite and underwriting guidelines were mostly centered on commercial property, with some respondents pointing to “automatic increases in property values due to inflation,” or carriers now using fire maps when underwriting, making it more of a challenge to get business placed.



KEY NUMBERS AT A GLANCE

- 8.1%: average premium increase across all account sizes
- 24: number of consecutive quarters of increased premiums across all account sizes
- 8.9%: average increase in premiums for medium accounts, highest among all account sizes

AVERAGE COMMERCIAL PRICING INCREASES

	By Account Size SMALL	MEDIUM	LARGE	AVERAGE
Third Quarter 2023	7.9%	8.9%	7.5%	8.1%
Second Quarter 2023	7.2%	9.8%	9.7%	8.9%
First Quarter 2022	6.2%	9.0%	11.4%	8.8%
Fourth Quarter 2022	6.5%	8.3%	9.1%	8.0%
Third Quarter 2022	6.5%	9.0%	8.8%	8.1%
High	20.8%	31.7%	33.0%	28.5%
High Date	4Q01	4Q01	4Q01	
Low	-10.0%	-15.0%	-15.9%	-13.6%
Low Date	1Q08	3Q07	3Q07	

Source:
The Council of Insurance Agents & Brokers

PREMIUM PRICING BY LINE OF BUSINESS

Premium increases remained mostly in line with results from previous quarters this year, with respondents reporting an average increase across all lines of business of 7.1%, down slightly from Q1 and Q2’s 8.3%.

Line-specific trends from previous quarters also continued into this quarter. The cyber line of business recorded an increase of only 1.6% this quarter, the latest data point in a trend of notable moderation in premium increases for the line. Commercial property, on the other hand, continued to struggle—premiums for that line rose by an average 17.1%, once again the highest of all lines.

An unexpected result this quarter was the slight decrease in D&O premiums. Respondents reported an average decrease of -0.3% for that line, possibly suggesting softer market conditions. Workers compensation also notched its seventh consecutive quarter of premium decreases, at -2.0%.

KEY NUMBERS AT A GLANCE

- 7.1%: average increase across all major lines of business
- 17.1%: average commercial property premium increase
- 1.6%: average cyber premium increase
- -0.3%: average D&O premium decrease

BY-LINE THIRD QUARTER 2023 RATE CHANGES RANGED FROM -2.0% TO +17.1%

	COMM'L AUTO	WORKERS' COMP	COMM'L PROPERTY	GEN'L LIABILITY	UMBRELLA	AVERAGE
Third Quarter 2023	8.8%	-2.0%	17.1%	4.2%	7.4%	7.1%
Second Quarter 2023	10.4%	-0.7%	18.3%	5.2%	8.1%	8.3%
First Quarter 2023	8.3%	-0.5%	20.4%	4.6%	8.5%	8.3%
Fourth Quarter 2022	7.3%	-1.1%	16.0%	4.9%	9.6%	7.4%
Third Quarter 2022	7.6%	-0.7%	11.2%	5.7%	11.3%	7.0%
High	28.6%	24.9%	45.4%	26.0%	51.9%	35.3%
Low	-11.6%	-12.3%	-15.0%	-13.6%	-13.5%	-13.2%

Source:
The Council of Insurance Agents & Brokers

RATE CHANGES IN OTHER LINES

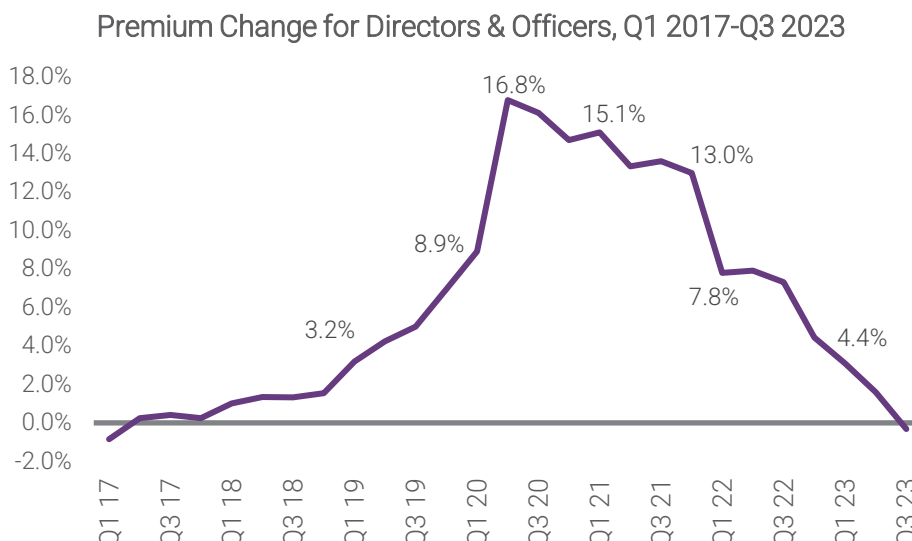
	3Q23	High	Low
Broker E&O	2.5%	15.4%	-4.5%
Business Interruption	7.1%	28.8%	-10.2%
Construction	6.5%	38.7%	-10.7%
Cyber	1.6%	34.3%	-1.5%
D&O Liability	-0.3%	32.4%	-8.7%
Employment Practices	1.8%	21.9%	-8.1%
Flood	3.0%	8.6%	-2.7%
Marine	3.9%	4.5%	-10.6%
Medical Malpractice	2.8%	32.5%	-4.1%
Surety Bonds	0.3%	11.2%	-2.3%
Terrorism	0.7%	10.4%	-3.6%

Source:
The Council of Insurance Agents & Brokers

NOTABLE LINE OF BUSINESS: D&O

After peaking in 2020-2021, D&O market has softened significantly.

For the first time since Q1 2017, D&O premiums decreased at an average of -0.3% this quarter. As seen in the graph below, this followed a trend of persistent moderation in premium increases for the line begun after the peak in Q2 2020.



Interestingly, signs commonly associated with softened market conditions were not overtly evident in other survey metrics this quarter. Demand for the line remained static, with 86% of respondents reporting that the demand had not changed compared to the previous quarter. There was some indication of increased capacity—which is often correlated with lower prices—though it was not a strong response, as only 16% of respondents said underwriting capacity for the line increased, while 78% said it didn't change.

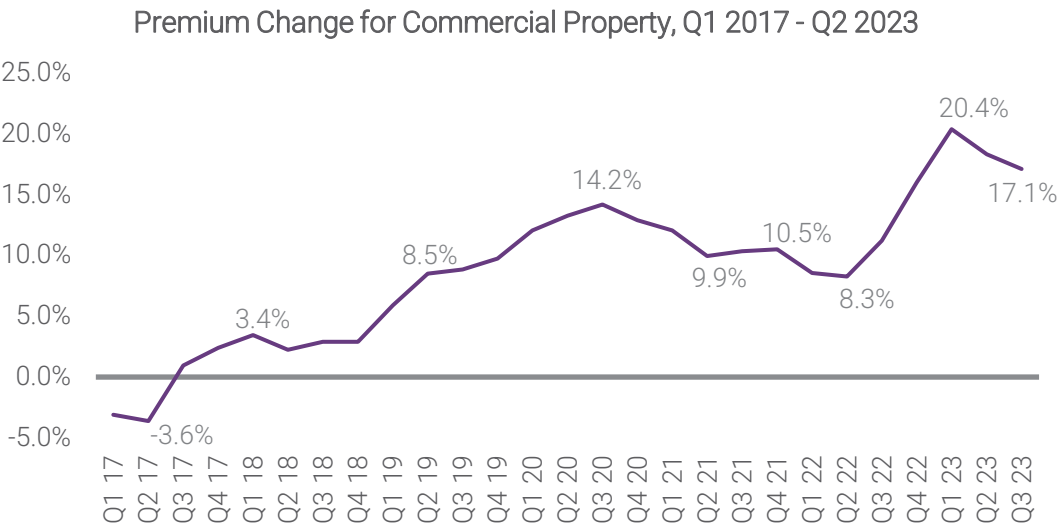
A [report](#) from Woodruff Sawyer suggests a few reasons for softer D&O premiums. The number of initial public offering (IPO) filings spiked to 460 filings in 2020, almost double the average between 2017 and 2019, and more than doubled again to 1,013 filings in 2021, according to the report, leading to an unprecedented demand for D&O and thus higher prices. But in 2022 and onwards, that IPO number has dropped substantially, the report notes, with 174 filings in 2022 and 74 in the first half of 2023, leading to far less demand for D&O insurance than in 2021 or 2022, which forced premiums down as carriers competed for what little business there was.

The report also highlighted that securities class action lawsuits peaked in 2019 at 268 and have been trending down since, due in part to a decision in the Delaware supreme court, *Salzberg, et al. v. Sciabacucchi*. Previously, under existing law, plaintiffs could bring securities actions in federal or state court—or both—but the recent decision affirmed companies may incorporate provisions into their company charter documents mandating securities actions must be brought in federal court, allowing them to avoid expensive duplicative suits. As the size of settlements and cost of lawsuits can often impact the D&O market, especially considering social inflation trends, this may be a factor behind softer D&O premiums this quarter.

NOTABLE LINE OF BUSINESS: Commercial Property

Reinsurance, high claims frequency and severity and inflation created a perfect storm.

Commercial property premiums increased by an average of 17.1% this quarter, marking a year of increases over 15% for this line.



As with previous quarters this year, respondents agreed high reinsurance cost and lack of reinsurance capacity were two primary drivers behind the continued increases—60% of respondents mentioned one or both when asked how carriers justified premium increases and reduction in capacity for the line.

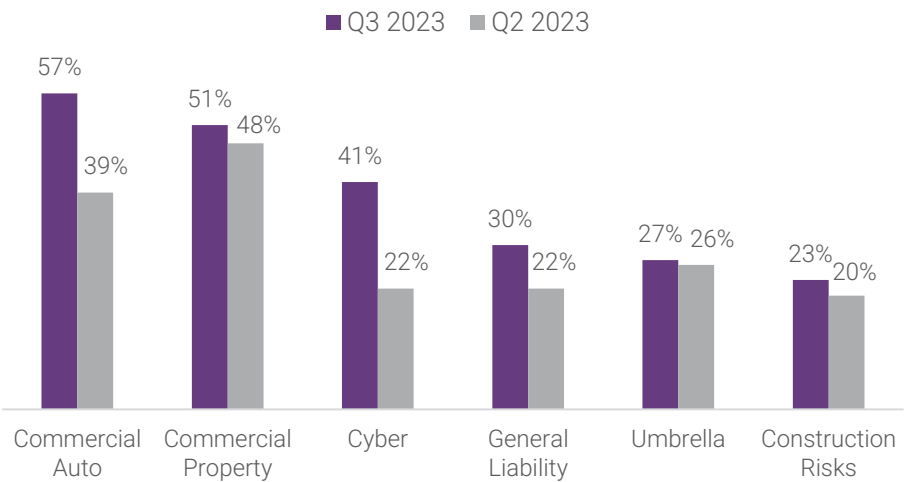
Losses from natural catastrophes was the other major contributor to ongoing commercial property issues, according to 58% of respondents. “Climate change resulted in increased losses and volatility in virtually every geography,” said one respondent from a large Northeastern firm—and they were not alone in this sentiment, with multiple respondents from the Southeast to the Northwest all highlighting “countrywide catastrophic losses” and “atypical weather patterns.”

Some respondents also brought up inflation. There were “continued increases anywhere inflation impacts ability to restore from loss—cost of parts and increases in cost of materials” said one respondent from a midsize Southwestern firm.

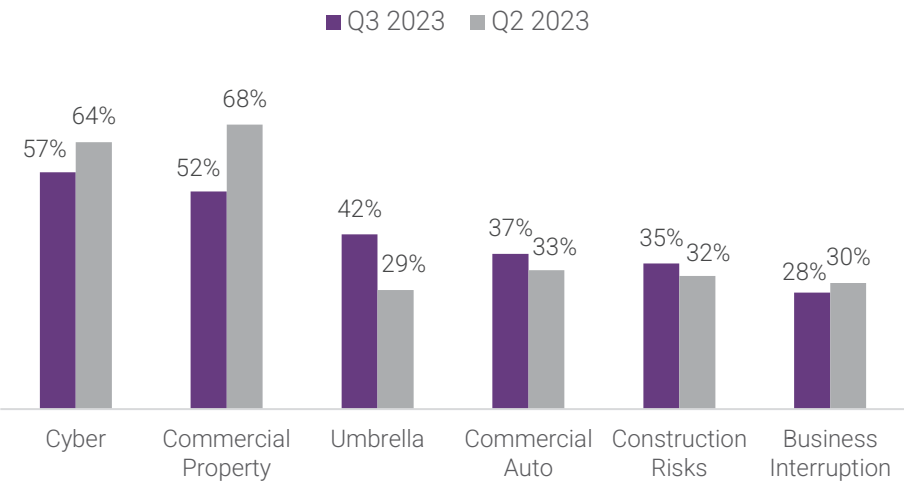
CLAIMS & DEMAND

Auto and cyber claims up, cyber demand remained solid

Respondents Reporting an Increase in Claims



Respondents Reporting an Increase in Demand



CLIENT CONCERNS

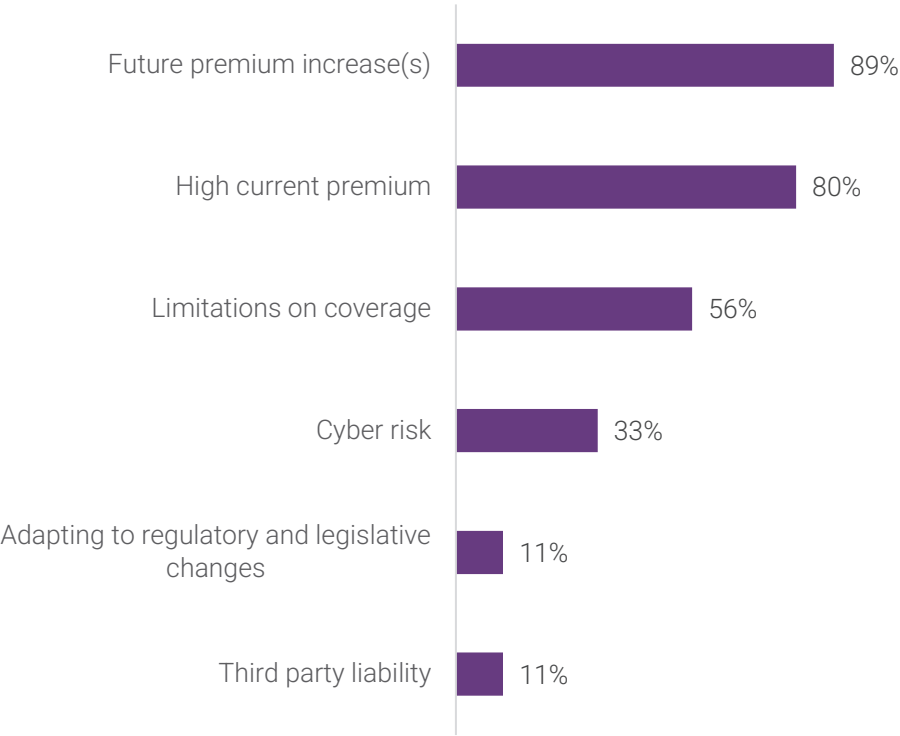
Policyholders tired of high premiums, increased scrutiny and coverage limitations

It was clear this quarter that current market conditions have taken their toll on clients. Concerns about premiums dominated client outlooks for Q3 2023, followed closely by worries about future limitations on coverage.

In line with this, 70% of respondents reported that their clients described some level of rate fatigue to them. But high premiums were not the only problem—nearly half of respondents (48%) also said their clients felt burdened by carrier requests for information, coming on the heels of several quarters of increased scrutiny by carriers in lines of business like cyber and commercial property.

More concerning was that 42% of respondents also mentioned that their client displayed a level of mistrust towards the industry, provoked by the persistent increases across most lines and cuts to coverage in key lines like commercial auto and commercial property. “Many clients, especially those with no losses, expressed frustration with the system,” said one respondent from a midsize Midwestern firm. Another, from a large Northeastern firm, reported an even starker sentiment from their clients: “The industry is running away from what is considered traditional risk instead of offering solutions.”

Top 3 Client Concerns in Q3 2023



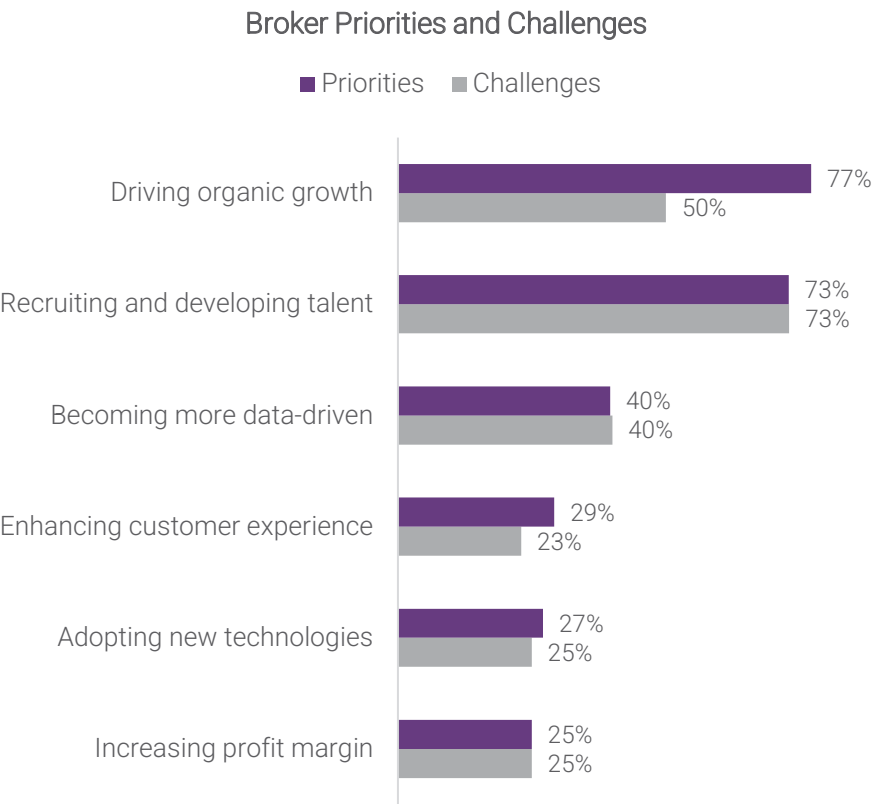
PRIORITIES & CHALLENGES

Becoming more data-driven top of mind for brokers

The top priority for brokers in Q3 2023 (besides the perennial top two priorities of “driving organic growth” and “recruiting and developing talent”) was “becoming more data-driven”, with 40% of respondents placing it as one of their top-three priorities.

Respondents felt a clear need to “clean up” their current store of data to get better information in front of clients faster, so they can be more responsive and make more consistent decisions more quickly. “There is an opportunity for us to leverage data to ensure better results for our clients and reduce the friction in the system,” said one respondent from a large Southeastern firm.

Strategies respondents used to tackle this challenge included “using third-party vendors to evaluate and sort our data” or implementing a proprietary agency management system. Some respondents also sought to not just improve their ability to access and leverage their internal data, but also sought sources of external data they could use to bolster what they already had.



The Council of Insurance Agents & Brokers is the premier association for the top regional, national and international commercial insurance and employee benefits intermediaries worldwide. Council members are market leaders who annually place 85 percent of U.S. commercial property/casualty insurance premiums and administer billions of dollars in employee benefits accounts. With expansive international reach, The Council fosters industry wide relationships around the globe by engaging lawmakers, regulators and stakeholders to promote the interests of its members and the valuable role they play in the mitigation of risk for their clients. Founded in 1913, The Council is based in Washington, D.C.

BELOW ARE THE SURVEY RESULTS FOR: ALL REGIONS

1. During the third quarter of 2023 (July 1 – September 30), on average, did premiums go up or down for each of the following account sizes, compared to the second quarter of 2023 (April 1 – June 30)? (If your company has more than one branch, refer to the premium change(s) at your individual branch.)

	1	2	3	4	5	6	7	8	9	10	N/A
	Down more than 30%	Down 20% - 30%	Down 10% - 19%	Down 1% - 9%	No change	Up 1% - 9%	Up 10% - 19%	Up 20% - 29%	Up 30% - 50%	Up more than 50%	Not sure
Small Account (Less than \$25k in commission and fees)	0.00%	0.00%	2.08%	2.08%	8.33%	43.75%	37.50%	2.08%	0.00%	0.00%	4.17%
Medium Account (Between \$25k to \$100k in commission and fees)	0.00%	0.00%	4.26%	2.13%	2.13%	46.81%	40.43%	2.13%	2.13%	0.00%	0.00%
Large Account (More than \$100k in commission and fees)	0.00%	2.13%	2.13%	2.13%	8.51%	42.55%	36.17%	4.26%	0.00%	0.00%	2.13%

2. During the third quarter of 2023 (July 1 – September 30), on average, did premiums go up or down for each of the following lines of business, compared to the second quarter of 2023 (April 1 – June 30)? (If your company has more than one branch, refer to the premium change(s) at your individual branch)

	1	2	3	4	5	6	7	8	9	10	N/A
	Down more than 30%	Down 20% - 30%	Down 10% - 19%	Down 1% - 9%	No Change	Up 1% - 9%	Up 10% - 19%	Up 20% - 29%	Up 30% - 50%	Up more than 50%	Not Sure
Broker E&O	0.00%	0.00%	0.00%	2.33%	39.53%	30.23%	9.30%	0.00%	0.00%	0.00%	18.60%
Business interruption	0.00%	0.00%	0.00%	0.00%	20.00%	33.33%	35.56%	2.22%	0.00%	0.00%	8.89%
Commercial auto	0.00%	0.00%	0.00%	0.00%	2.33%	55.81%	34.88%	6.98%	0.00%	0.00%	0.00%
Commercial property	0.00%	0.00%	0.00%	0.00%	4.35%	8.70%	67.39%	8.70%	8.70%	2.17%	0.00%
Construction risks	0.00%	0.00%	0.00%	0.00%	14.29%	50.00%	28.57%	2.38%	0.00%	0.00%	4.76%
Cyber	0.00%	0.00%	4.55%	22.73%	29.55%	31.82%	9.09%	2.27%	0.00%	0.00%	0.00%
D&O	0.00%	2.27%	6.82%	27.27%	25.00%	25.00%	9.09%	0.00%	0.00%	0.00%	4.55%
Employment practices	0.00%	2.27%	2.27%	11.36%	38.64%	36.36%	6.82%	2.27%	0.00%	0.00%	0.00%
Flood	0.00%	0.00%	0.00%	0.00%	48.78%	29.27%	9.76%	2.44%	0.00%	0.00%	9.76%
General liability	0.00%	0.00%	0.00%	0.00%	27.27%	63.64%	9.09%	0.00%	0.00%	0.00%	0.00%
Marine	0.00%	0.00%	0.00%	4.88%	43.90%	39.02%	4.88%	0.00%	0.00%	0.00%	7.32%
Medical malpractice	0.00%	0.00%	0.00%	0.00%	35.71%	35.71%	9.52%	0.00%	0.00%	0.00%	19.05%
Surety bonds	0.00%	0.00%	0.00%	5.00%	70.00%	12.50%	0.00%	0.00%	0.00%	0.00%	12.50%
Terrorism	0.00%	0.00%	0.00%	0.00%	68.42%	18.42%	0.00%	0.00%	0.00%	0.00%	13.16%
Umbrella	0.00%	0.00%	0.00%	2.38%	14.29%	50.00%	26.19%	4.76%	2.38%	0.00%	0.00%
Workers' compensation	0.00%	0.00%	4.65%	41.86%	41.86%	11.63%	0.00%	0.00%	0.00%	0.00%	0.00%

**BELOW ARE THE SURVEY RESULTS FOR:
NORTHEAST (CT, DE, DC, MA, ME, MD, NH, NJ, NY, PA, RI)**

1. During the third quarter of 2023 (July 1 – September 30), on average, did premiums go up or down for each of the following account sizes, compared to the second quarter of 2023 (April 1 – June 30)? (If your company has more than one branch, refer to the premium change(s) at your individual branch.)

	1	2	3	4	5	6	7	8	9	10	N/A
	Down more than 30%	Down 20% - 30%	Down 10% - 19%	Down 1% - 9%	No change	Up 1% - 9%	Up 10% - 19%	Up 20% - 29%	Up 30% - 50%	Up more than 50%	Not sure
Small Account (Less than \$25k in commission and fees)	0.00%	0.00%	0.00%	0.00%	16.67%	41.67%	41.67%	0.00%	0.00%	0.00%	0.00%
Medium Account (Between \$25k to \$100k in commission and fees)	0.00%	0.00%	0.00%	0.00%	8.33%	50.00%	41.67%	0.00%	0.00%	0.00%	0.00%
Large Account (More than \$100k in commission and fees)	0.00%	0.00%	0.00%	0.00%	16.67%	41.67%	33.33%	0.00%	0.00%	0.00%	8.33%

2. During the third quarter of 2023 (July 1 – September 30), on average, did premiums go up or down for each of the following lines of business, compared to the second quarter of 2023 (April 1 – June 30)? (If your company has more than one branch, refer to the premium change(s) at your individual branch)

	1	2	3	4	5	6	7	8	9	10	N/A
	Down more than 30%	Down 20% - 30%	Down 10% - 19%	Down 1% - 9%	No Change	Up 1% - 9%	Up 10% - 19%	Up 20% - 29%	Up 30% - 50%	Up more than 50%	Not Sure
Broker E&O	0.00%	0.00%	0.00%	0.00%	41.67%	41.67%	0.00%	0.00%	0.00%	0.00%	16.67%
Business interruption	0.00%	0.00%	0.00%	0.00%	25.00%	33.33%	33.33%	0.00%	0.00%	0.00%	8.33%
Commercial auto	0.00%	0.00%	0.00%	0.00%	8.33%	41.67%	41.67%	8.33%	0.00%	0.00%	0.00%
Commercial property	0.00%	0.00%	0.00%	0.00%	8.33%	16.67%	66.67%	0.00%	8.33%	0.00%	0.00%
Construction risks	0.00%	0.00%	0.00%	0.00%	33.33%	25.00%	33.33%	0.00%	0.00%	0.00%	8.33%
Cyber	0.00%	0.00%	0.00%	25.00%	16.67%	41.67%	8.33%	8.33%	0.00%	0.00%	0.00%
D&O	0.00%	0.00%	8.33%	33.33%	41.67%	8.33%	0.00%	0.00%	0.00%	0.00%	8.33%
Employment practices	0.00%	0.00%	8.33%	16.67%	41.67%	33.33%	0.00%	0.00%	0.00%	0.00%	0.00%
Flood	0.00%	0.00%	0.00%	0.00%	50.00%	33.33%	0.00%	0.00%	0.00%	0.00%	16.67%
General liability	0.00%	0.00%	0.00%	0.00%	25.00%	58.33%	16.67%	0.00%	0.00%	0.00%	0.00%
Marine	0.00%	0.00%	0.00%	8.33%	50.00%	25.00%	16.67%	0.00%	0.00%	0.00%	0.00%
Medical malpractice	0.00%	0.00%	0.00%	0.00%	33.33%	41.67%	8.33%	0.00%	0.00%	0.00%	16.67%
Surety bonds	0.00%	0.00%	0.00%	0.00%	100.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Terrorism	0.00%	0.00%	0.00%	0.00%	80.00%	10.00%	0.00%	0.00%	0.00%	0.00%	10.00%
Umbrella	0.00%	0.00%	0.00%	0.00%	16.67%	50.00%	33.33%	0.00%	0.00%	0.00%	0.00%
Workers' compensation	0.00%	0.00%	8.33%	33.33%	50.00%	8.33%	0.00%	0.00%	0.00%	0.00%	0.00%

BELOW ARE THE SURVEY RESULTS FOR:
SOUTHEAST (AL, FL, GA, KY, LA, MS, NC, SC, TN, VA, WV)

1. During the third quarter of 2023 (July 1 – September 30), on average, did premiums go up or down for each of the following account sizes, compared to the second quarter of 2023 (April 1 – June 30)? (If your company has more than one branch, refer to the premium change(s) at your individual branch.)

	1	2	3	4	5	6	7	8	9	10	N/A
	Down more than 30%	Down 20% - 30%	Down 10% - 19%	Down 1% - 9%	No change	Up 1% - 9%	Up 10% - 19%	Up 20% - 29%	Up 30% - 50%	Up more than 50%	Not sure
Small Account (Less than \$25k in commission and fees)	0.00%	0.00%	0.00%	0.00%	0.00%	85.71%	14.29%	0.00%	0.00%	0.00%	0.00%
Medium Account (Between \$25k to \$100k in commission and fees)	0.00%	0.00%	0.00%	0.00%	0.00%	42.86%	57.14%	0.00%	0.00%	0.00%	0.00%
Large Account (More than \$100k in commission and fees)	0.00%	0.00%	0.00%	0.00%	14.29%	14.29%	42.86%	28.57%	0.00%	0.00%	0.00%

2. During the third quarter of 2023 (July 1 – September 30), on average, did premiums go up or down for each of the following lines of business, compared to the second quarter of 2023 (April 1 – June 30)? (If your company has more than one branch, refer to the premium change(s) at your individual branch)

	1	2	3	4	5	6	7	8	9	10	N/A
	Down more than 30%	Down 20% - 30%	Down 10% - 19%	Down 1% - 9%	No Change	Up 1% - 9%	Up 10% - 19%	Up 20% - 29%	Up 30% - 50%	Up more than 50%	Not Sure
Broker E&O	0.00%	0.00%	0.00%	14.29%	28.57%	0.00%	28.57%	0.00%	0.00%	0.00%	28.57%
Business interruption	0.00%	0.00%	0.00%	0.00%	28.57%	28.57%	42.86%	0.00%	0.00%	0.00%	0.00%
Commercial auto	0.00%	0.00%	0.00%	0.00%	0.00%	57.14%	42.86%	0.00%	0.00%	0.00%	0.00%
Commercial property	0.00%	0.00%	0.00%	0.00%	0.00%	14.29%	71.43%	0.00%	14.29%	0.00%	0.00%
Construction risks	0.00%	0.00%	0.00%	0.00%	14.29%	71.43%	14.29%	0.00%	0.00%	0.00%	0.00%
Cyber	0.00%	0.00%	0.00%	0.00%	42.86%	57.14%	0.00%	0.00%	0.00%	0.00%	0.00%
D&O	0.00%	0.00%	0.00%	14.29%	28.57%	57.14%	0.00%	0.00%	0.00%	0.00%	0.00%
Employment practices	0.00%	0.00%	0.00%	0.00%	57.14%	42.86%	0.00%	0.00%	0.00%	0.00%	0.00%
Flood	0.00%	0.00%	0.00%	0.00%	42.86%	28.57%	14.29%	14.29%	0.00%	0.00%	0.00%
General liability	0.00%	0.00%	0.00%	0.00%	42.86%	57.14%	0.00%	0.00%	0.00%	0.00%	0.00%
Marine	0.00%	0.00%	0.00%	0.00%	57.14%	28.57%	0.00%	0.00%	0.00%	0.00%	14.29%
Medical malpractice	0.00%	0.00%	0.00%	0.00%	28.57%	42.86%	14.29%	0.00%	0.00%	0.00%	14.29%
Surety bonds	0.00%	0.00%	0.00%	0.00%	66.67%	16.67%	0.00%	0.00%	0.00%	0.00%	16.67%
Terrorism	0.00%	0.00%	0.00%	0.00%	66.67%	33.33%	0.00%	0.00%	0.00%	0.00%	0.00%
Umbrella	0.00%	0.00%	0.00%	14.29%	14.29%	42.86%	14.29%	0.00%	14.29%	0.00%	0.00%
Workers' compensation	0.00%	0.00%	0.00%	57.14%	42.86%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%

BELOW ARE THE SURVEY RESULTS FOR:
MIDWEST (AR, IL, IN, IA, KS, MI, MO, MN, NE, ND, SD, OH, WI)

1. During the third quarter of 2023 (July 1 – September 30), on average, did premiums go up or down for each of the following account sizes, compared to the second quarter of 2023 (April 1 – June 30)? (If your company has more than one branch, refer to the premium change(s) at your individual branch.)

	1	2	3	4	5	6	7	8	9	10	N/A
	Down more than 30%	Down 20% - 30%	Down 10% - 19%	Down 1% - 9%	No change	Up 1% - 9%	Up 10% - 19%	Up 20% - 29%	Up 30% - 50%	Up more than 50%	Not sure
Small Account (Less than \$25k in commission and fees)	0.00%	0.00%	0.00%	0.00%	7.69%	46.15%	46.15%	0.00%	0.00%	0.00%	0.00%
Medium Account (Between \$25k to \$100k in commission and fees)	0.00%	0.00%	0.00%	0.00%	0.00%	69.23%	30.77%	0.00%	0.00%	0.00%	0.00%
Large Account (More than \$100k in commission and fees)	0.00%	0.00%	0.00%	0.00%	7.69%	53.85%	38.46%	0.00%	0.00%	0.00%	0.00%

2. During the third quarter of 2023 (July 1 – September 30), on average, did premiums go up or down for each of the following lines of business, compared to the second quarter of 2023 (April 1 – June 30)? (If your company has more than one branch, refer to the premium change(s) at your individual branch)

	1	2	3	4	5	6	7	8	9	10	N/A
	Down more than 30%	Down 20% - 30%	Down 10% - 19%	Down 1% - 9%	No Change	Up 1% - 9%	Up 10% - 19%	Up 20% - 29%	Up 30% - 50%	Up more than 50%	Not Sure
Broker E&O	0.00%	0.00%	0.00%	0.00%	53.85%	38.46%	0.00%	0.00%	0.00%	0.00%	7.69%
Business interruption	0.00%	0.00%	0.00%	0.00%	15.38%	46.15%	30.77%	0.00%	0.00%	0.00%	7.69%
Commercial auto	0.00%	0.00%	0.00%	0.00%	0.00%	76.92%	23.08%	0.00%	0.00%	0.00%	0.00%
Commercial property	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	69.23%	23.08%	7.69%	0.00%	0.00%
Construction risks	0.00%	0.00%	0.00%	0.00%	7.69%	61.54%	23.08%	7.69%	0.00%	0.00%	0.00%
Cyber	0.00%	0.00%	0.00%	46.15%	30.77%	15.38%	7.69%	0.00%	0.00%	0.00%	0.00%
D&O	0.00%	0.00%	7.69%	38.46%	7.69%	46.15%	0.00%	0.00%	0.00%	0.00%	0.00%
Employment practices	0.00%	0.00%	0.00%	23.08%	30.77%	46.15%	0.00%	0.00%	0.00%	0.00%	0.00%
Flood	0.00%	0.00%	0.00%	0.00%	46.15%	38.46%	7.69%	0.00%	0.00%	0.00%	7.69%
General liability	0.00%	0.00%	0.00%	0.00%	23.08%	69.23%	7.69%	0.00%	0.00%	0.00%	0.00%
Marine	0.00%	0.00%	0.00%	7.69%	23.08%	69.23%	0.00%	0.00%	0.00%	0.00%	0.00%
Medical malpractice	0.00%	0.00%	0.00%	0.00%	38.46%	46.15%	7.69%	0.00%	0.00%	0.00%	7.69%
Surety bonds	0.00%	0.00%	0.00%	15.38%	53.85%	23.08%	0.00%	0.00%	0.00%	0.00%	7.69%
Terrorism	0.00%	0.00%	0.00%	0.00%	66.67%	33.33%	0.00%	0.00%	0.00%	0.00%	0.00%
Umbrella	0.00%	0.00%	0.00%	0.00%	8.33%	66.67%	16.67%	8.33%	0.00%	0.00%	0.00%
Workers' compensation	0.00%	0.00%	7.69%	61.54%	23.08%	7.69%	0.00%	0.00%	0.00%	0.00%	0.00%

**BELOW ARE THE SURVEY RESULTS FOR:
SOUTHWEST (SO. CA, AZ, NM, OK, TX)**

1. During the third quarter of 2023 (July 1 – September 30), on average, did premiums go up or down for each of the following account sizes, compared to the second quarter of 2023 (April 1 – June 30)? (If your company has more than one branch, refer to the premium change(s) at your individual branch.)

	1	2	3	4	5	6	7	8	9	10	N/A
	Down more than 30%	Down 20% - 30%	Down 10% - 19%	Down 1% - 9%	No change	Up 1% - 9%	Up 10% - 19%	Up 20% - 29%	Up 30% - 50%	Up more than 50%	Not sure
Small Account (Less than \$25k in commission and fees)	0.00%	0.00%	0.00%	0.00%	0.00%	33.33%	16.67%	16.67%	0.00%	0.00%	33.33%
Medium Account (Between \$25k to \$100k in commission and fees)	0.00%	0.00%	0.00%	0.00%	0.00%	33.33%	50.00%	16.67%	0.00%	0.00%	0.00%
Large Account (More than \$100k in commission and fees)	0.00%	0.00%	0.00%	0.00%	0.00%	50.00%	50.00%	0.00%	0.00%	0.00%	0.00%

2. During the third quarter of 2023 (July 1 – September 30), on average, did premiums go up or down for each of the following lines of business, compared to the second quarter of 2023 (April 1 – June 30)? (If your company has more than one branch, refer to the premium change(s) at your individual branch)

	1	2	3	4	5	6	7	8	9	10	N/A
	Down more than 30%	Down 20% - 30%	Down 10% - 19%	Down 1% - 9%	No Change	Up 1% - 9%	Up 10% - 19%	Up 20% - 29%	Up 30% - 50%	Up more than 50%	Not Sure
Broker E&O	0.00%	0.00%	0.00%	0.00%	50.00%	0.00%	0.00%	0.00%	0.00%	0.00%	50.00%
Business interruption	0.00%	0.00%	0.00%	0.00%	16.67%	33.33%	16.67%	16.67%	0.00%	0.00%	16.67%
Commercial auto	0.00%	0.00%	0.00%	0.00%	0.00%	25.00%	50.00%	25.00%	0.00%	0.00%	0.00%
Commercial property	0.00%	0.00%	0.00%	0.00%	16.67%	0.00%	66.67%	16.67%	0.00%	0.00%	0.00%
Construction risks	0.00%	0.00%	0.00%	0.00%	0.00%	25.00%	50.00%	0.00%	0.00%	0.00%	25.00%
Cyber	0.00%	0.00%	0.00%	0.00%	50.00%	25.00%	25.00%	0.00%	0.00%	0.00%	0.00%
D&O	0.00%	0.00%	0.00%	25.00%	25.00%	0.00%	25.00%	0.00%	0.00%	0.00%	25.00%
Employment practices	0.00%	0.00%	0.00%	0.00%	50.00%	25.00%	25.00%	0.00%	0.00%	0.00%	0.00%
Flood	0.00%	0.00%	0.00%	0.00%	33.33%	33.33%	0.00%	0.00%	0.00%	0.00%	33.33%
General liability	0.00%	0.00%	0.00%	0.00%	50.00%	50.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Marine	0.00%	0.00%	0.00%	0.00%	66.67%	0.00%	0.00%	0.00%	0.00%	0.00%	33.33%
Medical malpractice	0.00%	0.00%	0.00%	0.00%	66.67%	0.00%	0.00%	0.00%	0.00%	0.00%	33.33%
Surety bonds	0.00%	0.00%	0.00%	0.00%	66.67%	0.00%	0.00%	0.00%	0.00%	0.00%	33.33%
Terrorism	0.00%	0.00%	0.00%	0.00%	66.67%	0.00%	0.00%	0.00%	0.00%	0.00%	33.33%
Umbrella	0.00%	0.00%	0.00%	0.00%	50.00%	25.00%	25.00%	0.00%	0.00%	0.00%	0.00%
Workers' compensation	0.00%	0.00%	0.00%	0.00%	50.00%	50.00%	0.00%	0.00%	0.00%	0.00%	0.00%

BELOW ARE THE SURVEY RESULTS FOR:
PACIFIC NORTHWEST (NO. CA, AK, CO, HI, ID, MT, NV, OR, UT, WA, WY)

1. During the third quarter of 2023 (July 1 – September 30), on average, did premiums go up or down for each of the following account sizes, compared to the second quarter of 2023 (April 1 – June 30)? (If your company has more than one branch, refer to the premium change(s) at your individual branch.)

	1	2	3	4	5	6	7	8	9	10	N/A
	Down more than 30%	Down 20% - 30%	Down 10% - 19%	Down 1% - 9%	No change	Up 1% - 9%	Up 10% - 19%	Up 20% - 29%	Up 30% - 50%	Up more than 50%	Not sure
Small Account (Less than \$25k in commission and fees)	0.00%	0.00%	10.00%	10.00%	10.00%	20.00%	50.00%	0.00%	0.00%	0.00%	0.00%
Medium Account (Between \$25k to \$100k in commission and fees)	0.00%	0.00%	22.22%	11.11%	0.00%	22.22%	33.33%	0.00%	11.11%	0.00%	0.00%
Large Account (More than \$100k in commission and fees)	0.00%	11.11%	11.11%	11.11%	0.00%	44.44%	22.22%	0.00%	0.00%	0.00%	0.00%

2. During the third quarter of 2023 (July 1 – September 30), on average, did premiums go up or down for each of the following lines of business, compared to the second quarter of 2023 (April 1 – June 30)? (If your company has more than one branch, refer to the premium change(s) at your individual branch)

	1	2	3	4	5	6	7	8	9	10	N/A
	Down more than 30%	Down 20% - 30%	Down 10% - 19%	Down 1% - 9%	No Change	Up 1% - 9%	Up 10% - 19%	Up 20% - 29%	Up 30% - 50%	Up more than 50%	Not Sure
Broker E&O	0.00%	0.00%	0.00%	0.00%	14.29%	42.86%	28.57%	0.00%	0.00%	0.00%	14.29%
Business interruption	0.00%	0.00%	0.00%	0.00%	14.29%	14.29%	57.14%	0.00%	0.00%	0.00%	14.29%
Commercial auto	0.00%	0.00%	0.00%	0.00%	0.00%	57.14%	28.57%	14.29%	0.00%	0.00%	0.00%
Commercial property	0.00%	0.00%	0.00%	0.00%	0.00%	12.50%	62.50%	0.00%	12.50%	12.50%	0.00%
Construction risks	0.00%	0.00%	0.00%	0.00%	0.00%	66.67%	33.33%	0.00%	0.00%	0.00%	0.00%
Cyber	0.00%	0.00%	25.00%	12.50%	25.00%	25.00%	12.50%	0.00%	0.00%	0.00%	0.00%
D&O	0.00%	12.50%	12.50%	12.50%	25.00%	0.00%	37.50%	0.00%	0.00%	0.00%	0.00%
Employment practices	0.00%	12.50%	0.00%	0.00%	25.00%	25.00%	25.00%	12.50%	0.00%	0.00%	0.00%
Flood	0.00%	0.00%	0.00%	0.00%	66.67%	0.00%	33.33%	0.00%	0.00%	0.00%	0.00%
General liability	0.00%	0.00%	0.00%	0.00%	12.50%	75.00%	12.50%	0.00%	0.00%	0.00%	0.00%
Marine	0.00%	0.00%	0.00%	0.00%	50.00%	33.33%	0.00%	0.00%	0.00%	0.00%	16.67%
Medical malpractice	0.00%	0.00%	0.00%	0.00%	28.57%	14.29%	14.29%	0.00%	0.00%	0.00%	42.86%
Surety bonds	0.00%	0.00%	0.00%	0.00%	50.00%	16.67%	0.00%	0.00%	0.00%	0.00%	33.33%
Terrorism	0.00%	0.00%	0.00%	0.00%	57.14%	0.00%	0.00%	0.00%	0.00%	0.00%	42.86%
Umbrella	0.00%	0.00%	0.00%	0.00%	0.00%	42.86%	42.86%	14.29%	0.00%	0.00%	0.00%
Workers' compensation	0.00%	0.00%	0.00%	28.57%	57.14%	14.29%	0.00%	0.00%	0.00%	0.00%	0.00%

AVERAGE COMMERCIAL PRICING INCREASES

	By Account Size SMALL	MEDIUM	LARGE	AVERAGE
Third Quarter 2023	7.9%	8.9%	7.5%	8.1%
Second Quarter 2023	7.2%	9.8%	9.7%	8.9%
First Quarter 2022	6.2%	9.0%	11.4%	8.8%
Fourth Quarter 2022	6.5%	8.3%	9.1%	8.0%
Third Quarter 2022	6.5%	9.0%	8.8%	8.1%
High	20.8%	31.7%	33.0%	28.5%
High Date	4Q01	4Q01	4Q01	
Low	-10.0%	-15.0%	-15.9%	-13.6%
Low Date	1Q08	3Q07	3Q07	

Source:
The Council of Insurance Agents & Brokers

BY-LINE THIRD QUARTER 2023 RATE CHANGES RANGED FROM -2.0% TO +17.1%

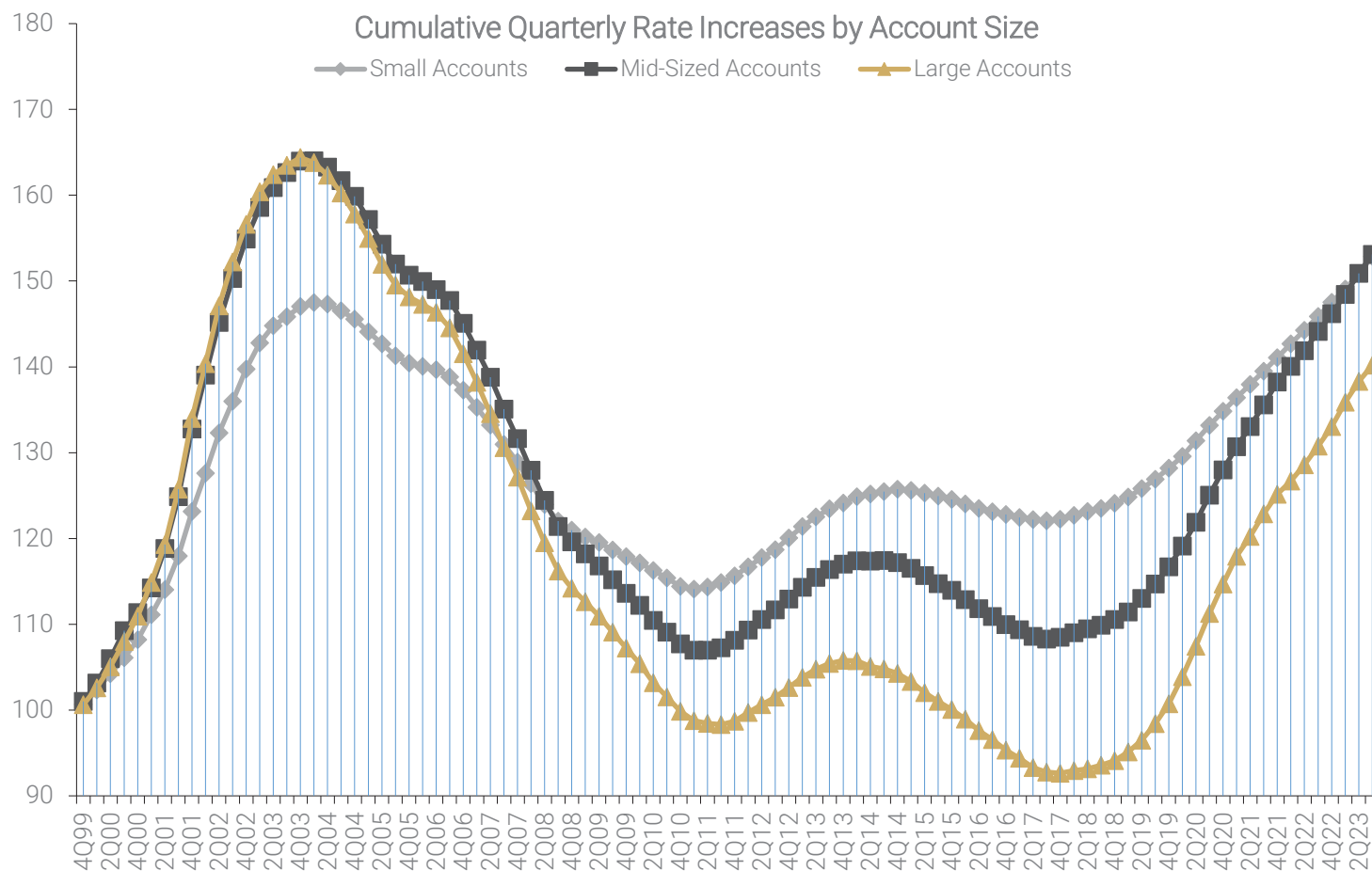
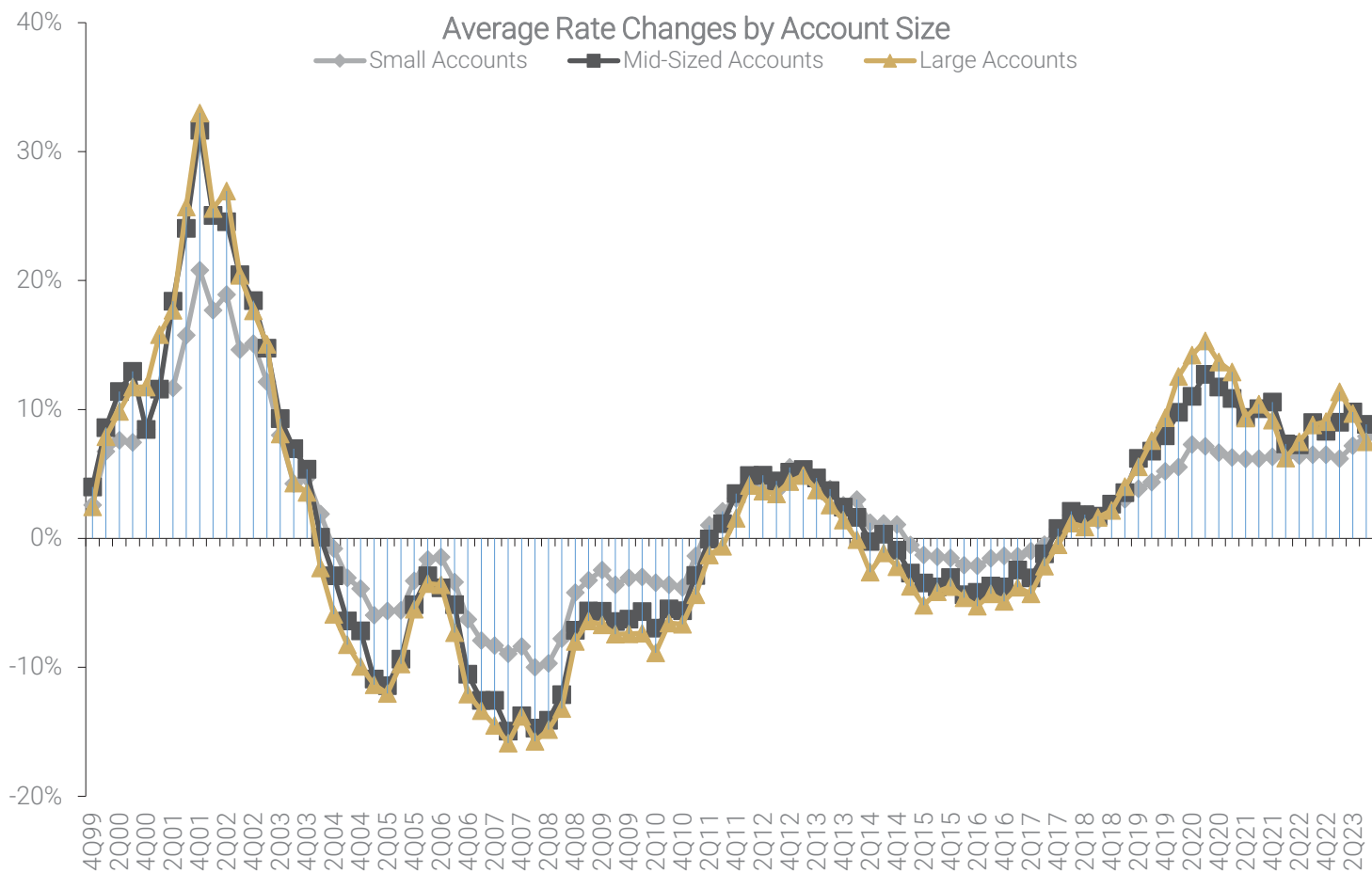
	COMM'L AUTO	WORKERS' COMP	COMM'L PROPERTY	GEN'L LIABILITY	UMBRELLA	AVERAGE
Third Quarter 2023	8.8%	-2.0%	17.1%	4.2%	7.4%	7.1%
Second Quarter 2023	10.4%	-0.7%	18.3%	5.2%	8.1%	8.3%
First Quarter 2023	8.3%	-0.5%	20.4%	4.6%	8.5%	8.3%
Fourth Quarter 2022	7.3%	-1.1%	16.0%	4.9%	9.6%	7.4%
Third Quarter 2022	7.6%	-0.7%	11.2%	5.7%	11.3%	7.0%
High	28.6%	24.9%	45.4%	26.0%	51.9%	35.3%
Low	-11.6%	-12.3%	-15.0%	-13.6%	-13.5%	-13.2%

Source:
The Council of Insurance Agents & Brokers

RATE CHANGES IN OTHER LINES

	3Q23	High	Low
Broker E&O	2.5%	15.4%	-4.5%
Business Interruption	7.1%	28.8%	-10.2%
Construction	6.5%	38.7%	-10.7%
Cyber	1.6%	34.3%	-1.5%
D&O Liability	-0.3%	32.4%	-8.7%
Employment Practices	1.8%	21.9%	-8.1%
Flood	3.0%	8.6%	-2.7%
Marine	3.9%	4.5%	-10.6%
Medical Malpractice	2.8%	32.5%	-4.1%
Surety Bonds	0.3%	11.2%	-2.3%
Terrorism	0.7%	10.4%	-3.6%

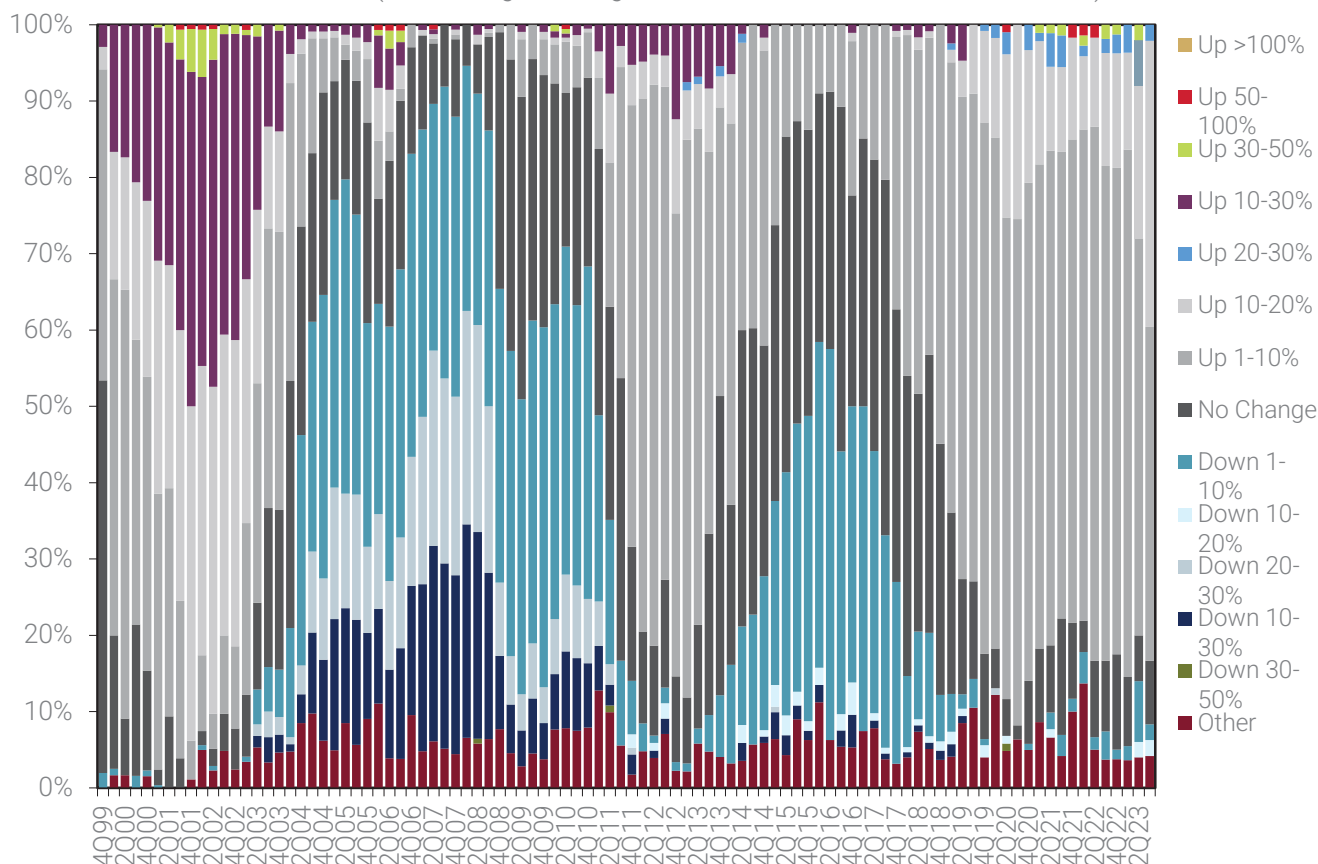
Source:
The Council of Insurance Agents & Brokers



Percentage of Survey
Respondents

Insurance Rate Changes, Small Commercial Accounts

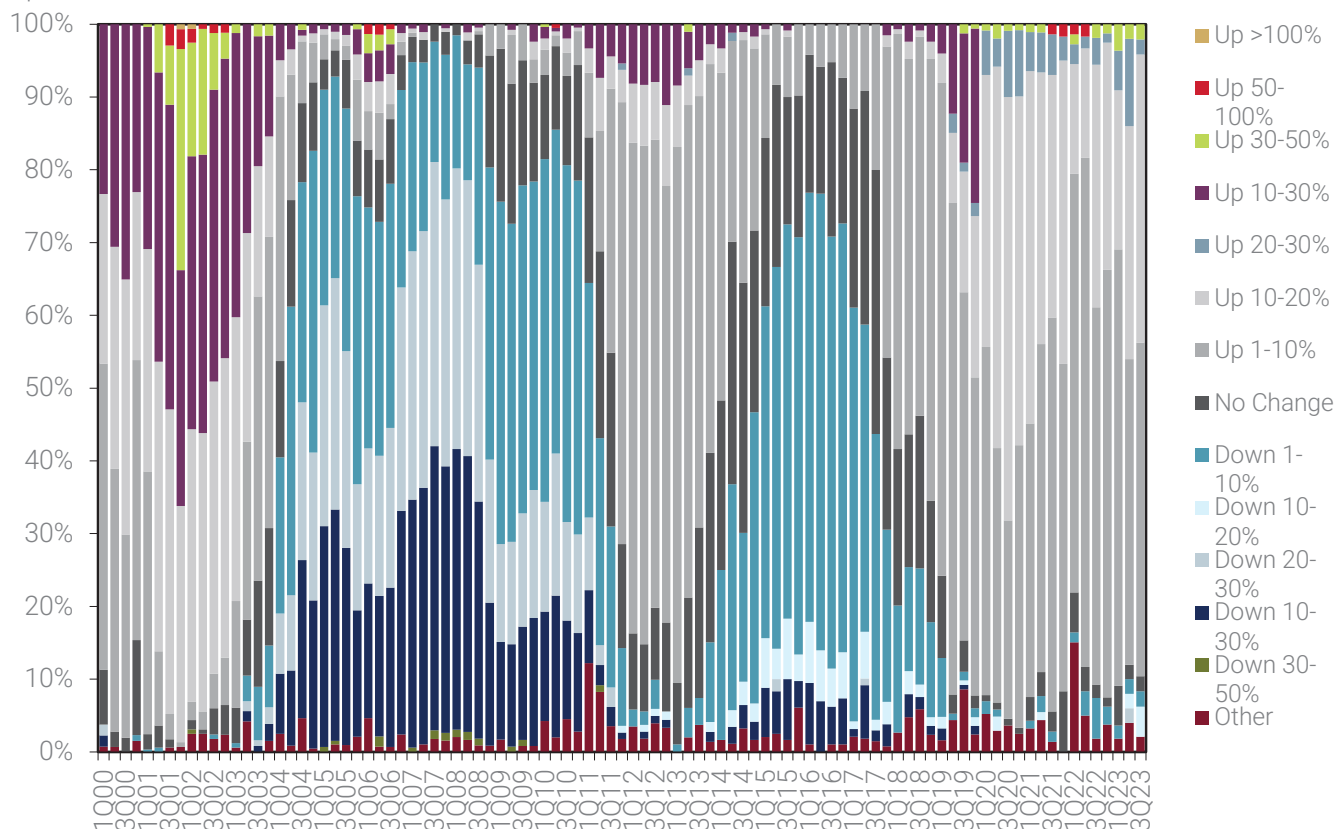
(Accounts generating <\$25,000 in annual commissions & fees)



Percentage of Survey
Respondents

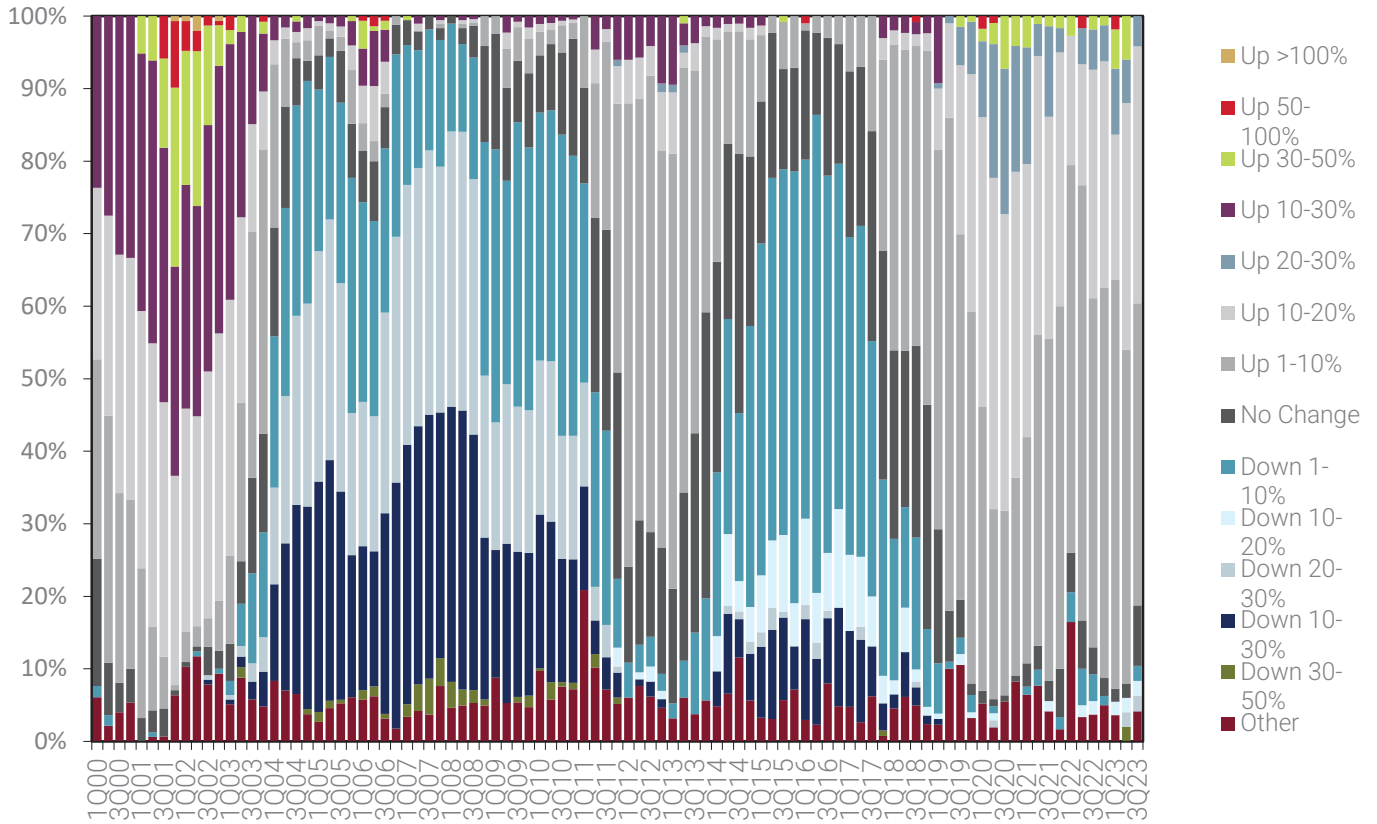
Insurance Rate Changes, Medium Commercial Accounts

(Accounts generating \$25,000-\$100,000 in annual commissions & fees)

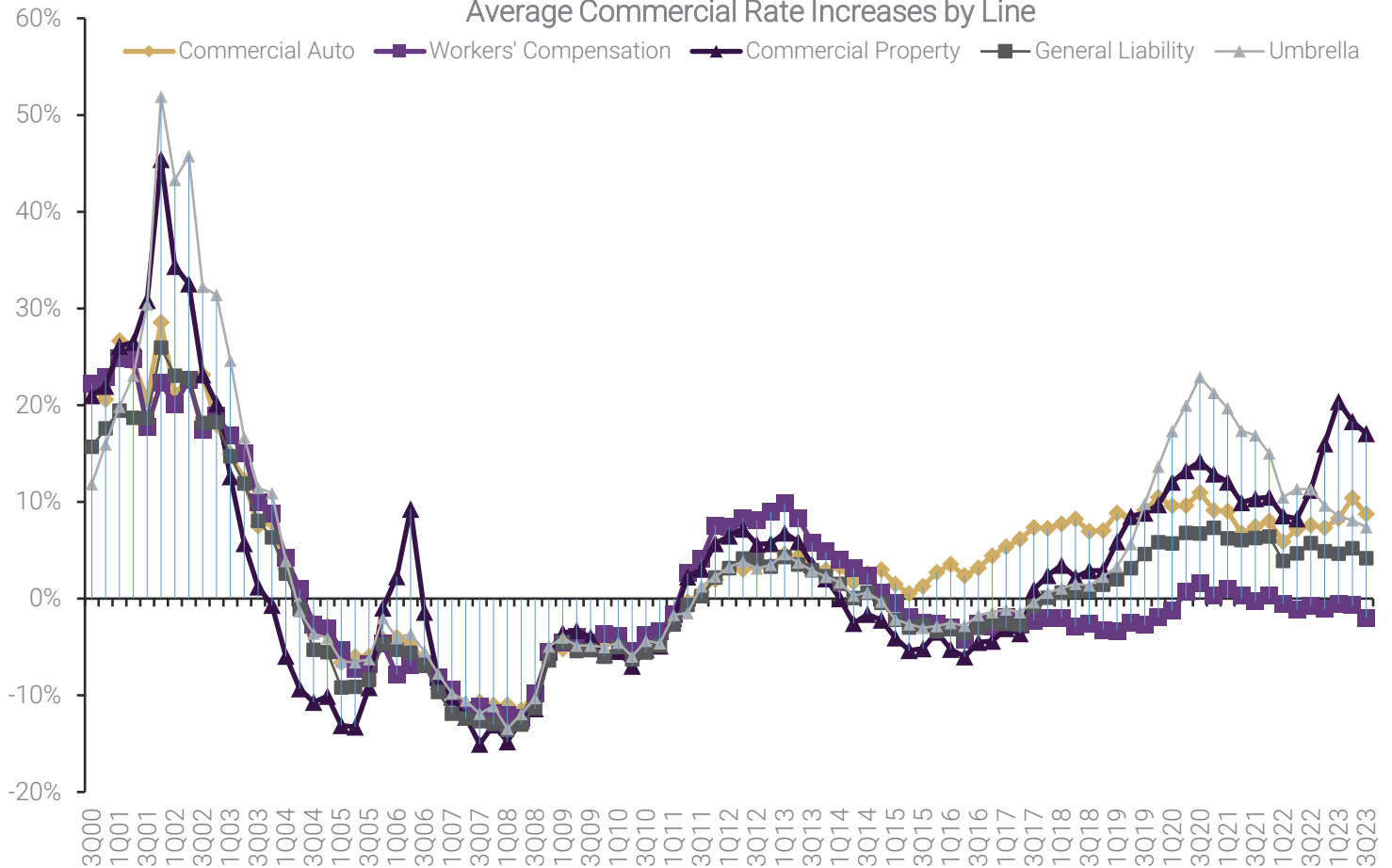


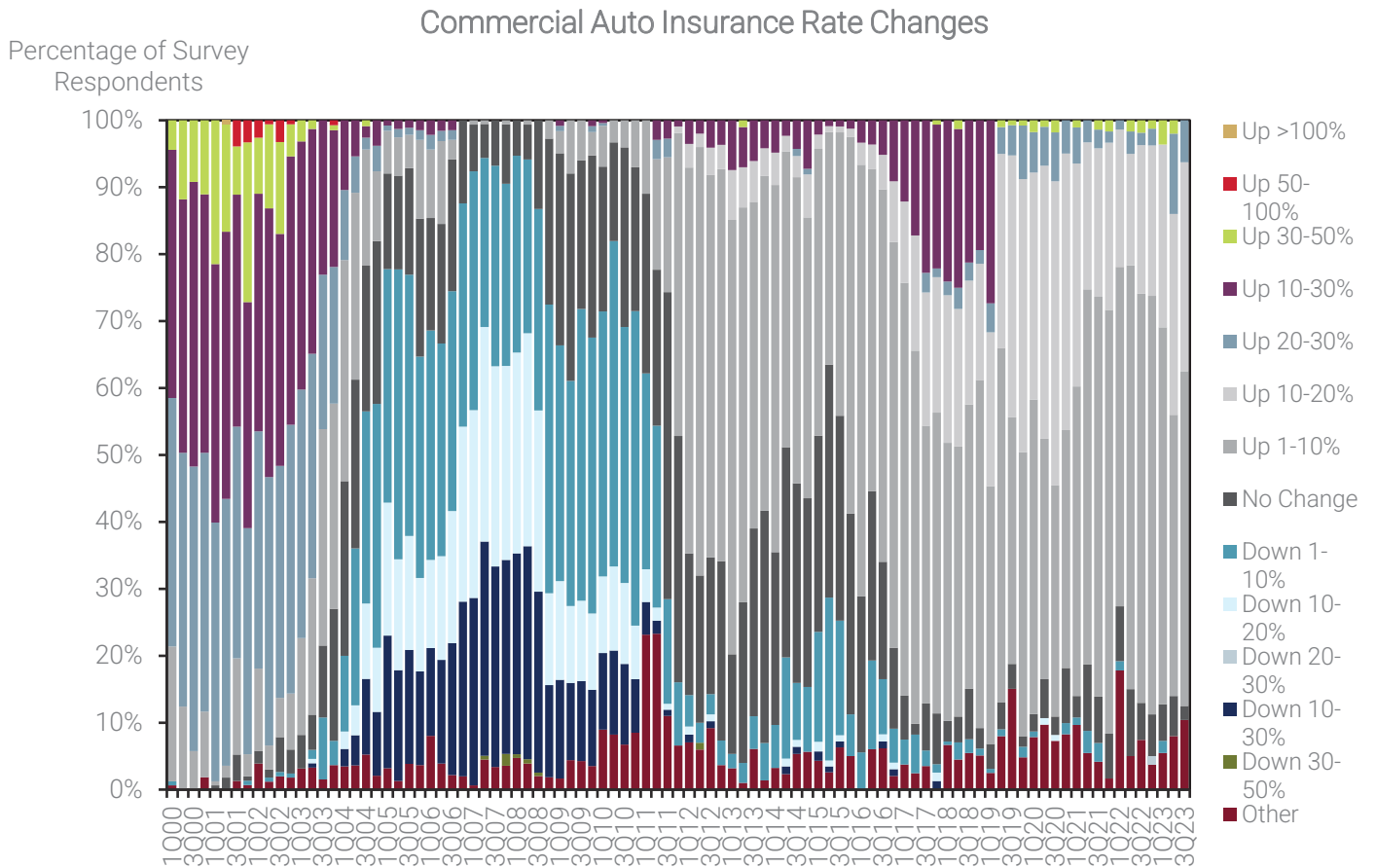
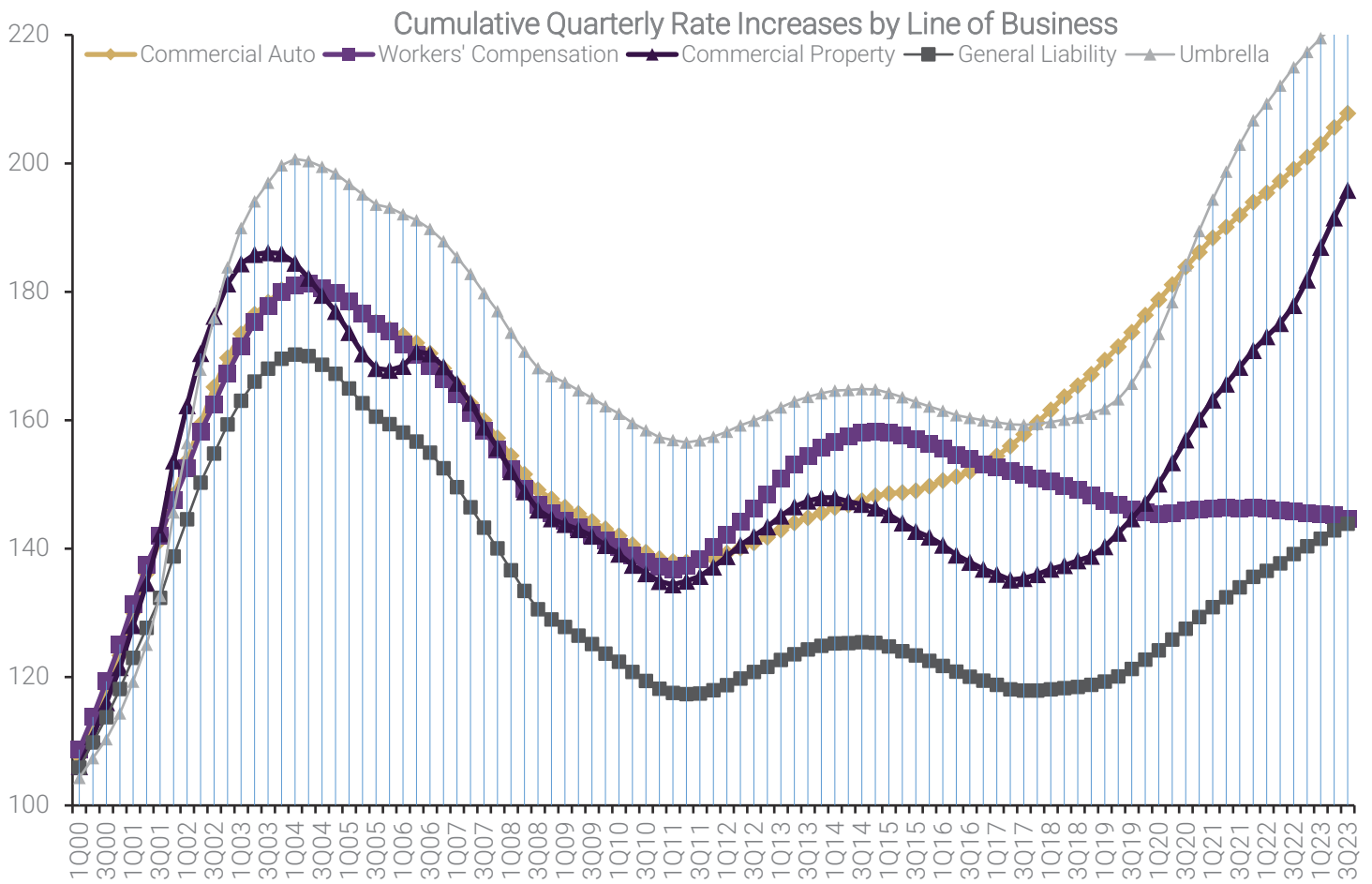
Insurance Rate Changes, Large Commercial Accounts (Accounts generating >\$100,000 in annual commissions & fees)

Percentage of Survey Respondents



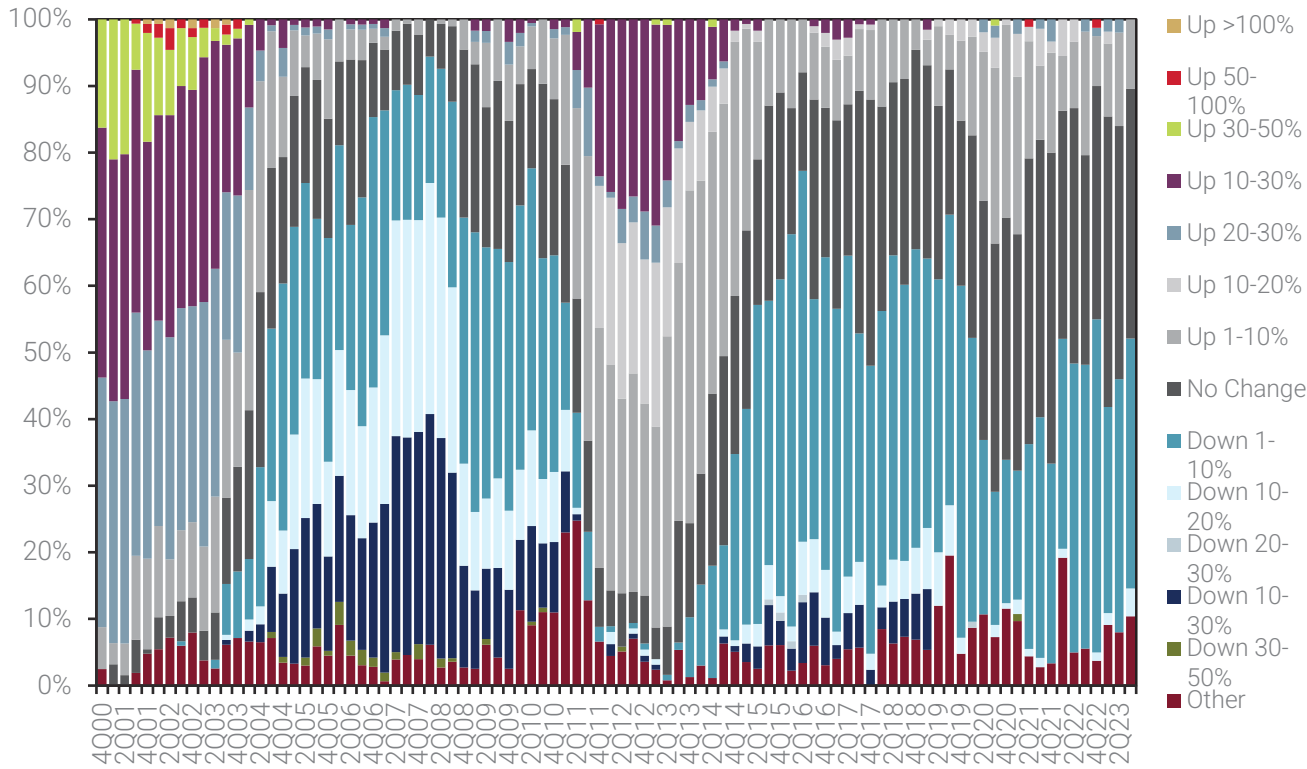
Average Commercial Rate Increases by Line





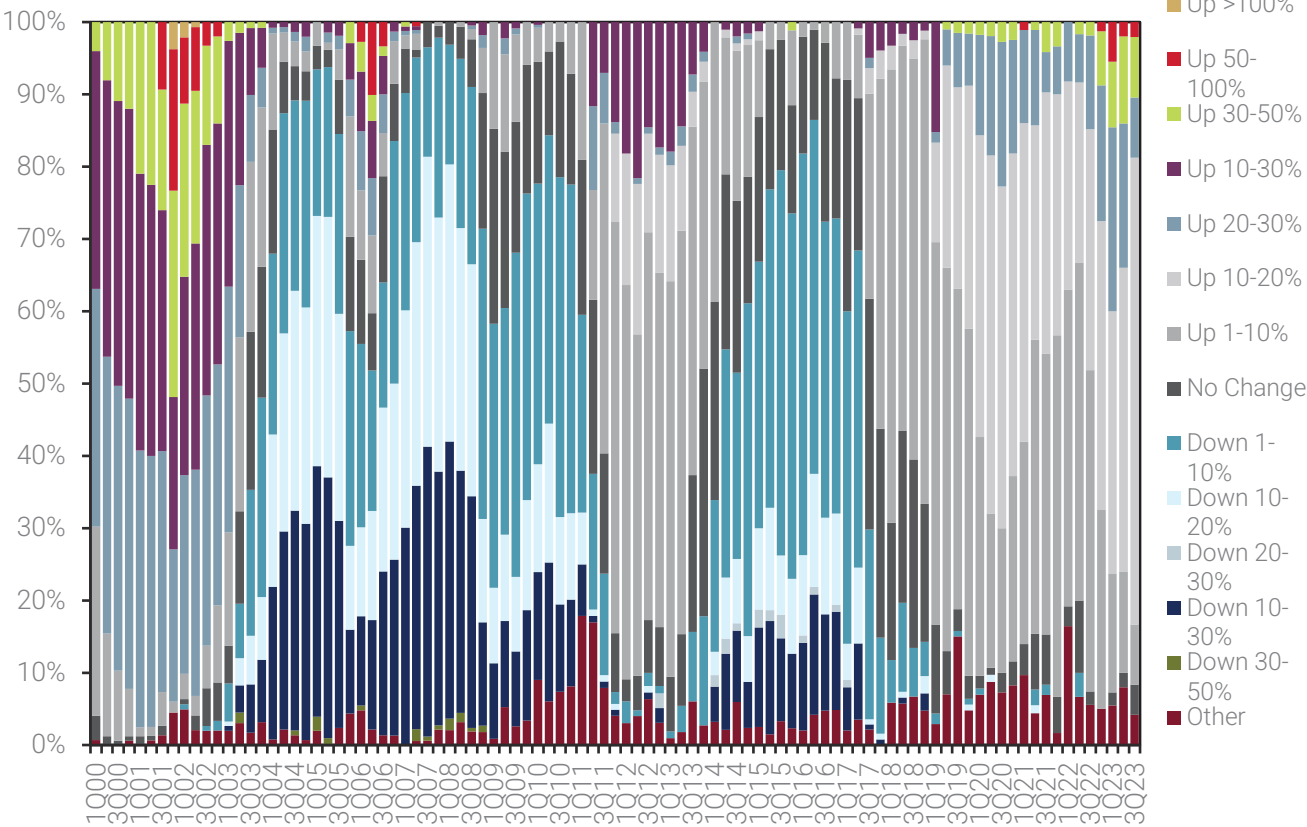
Workers Compensation Insurance Rate Changes

Percentage of Survey Respondents



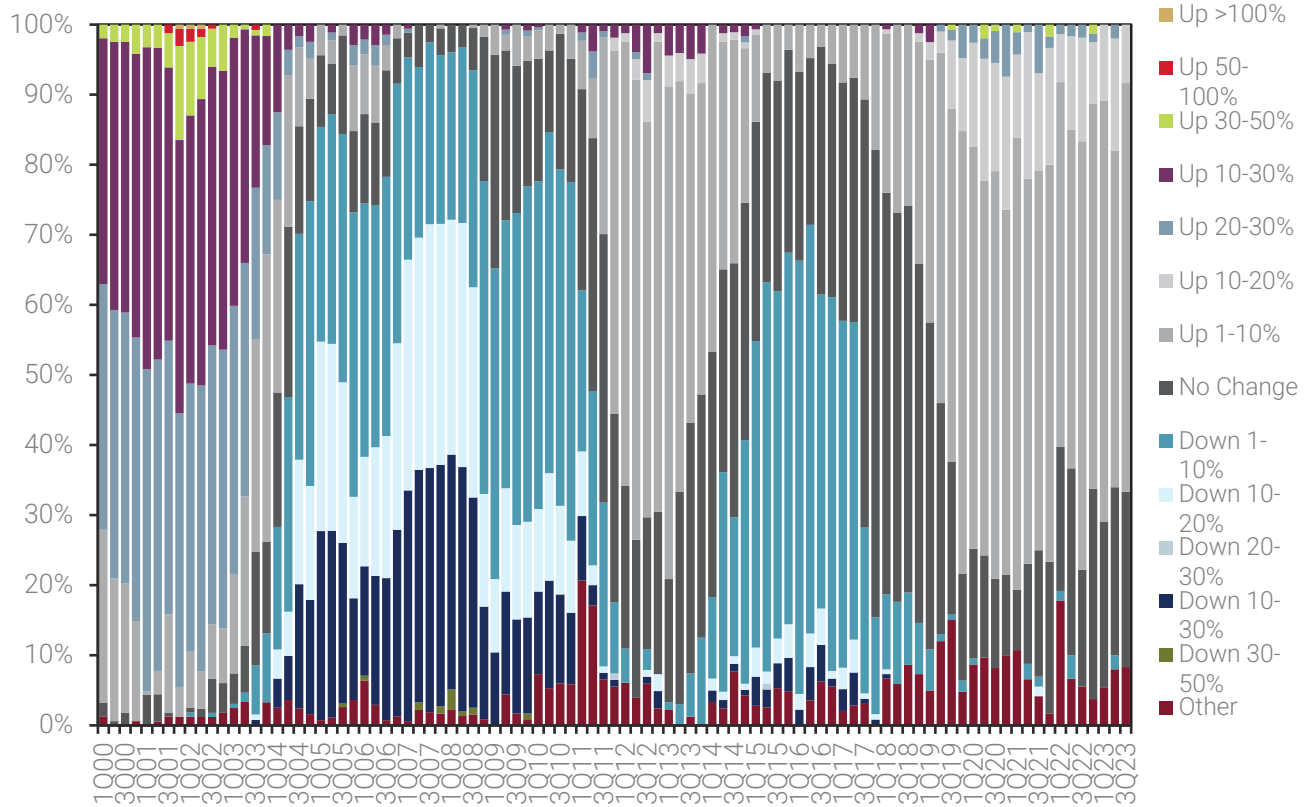
Commercial Property Insurance Rate Changes

Percentage of Survey Respondents



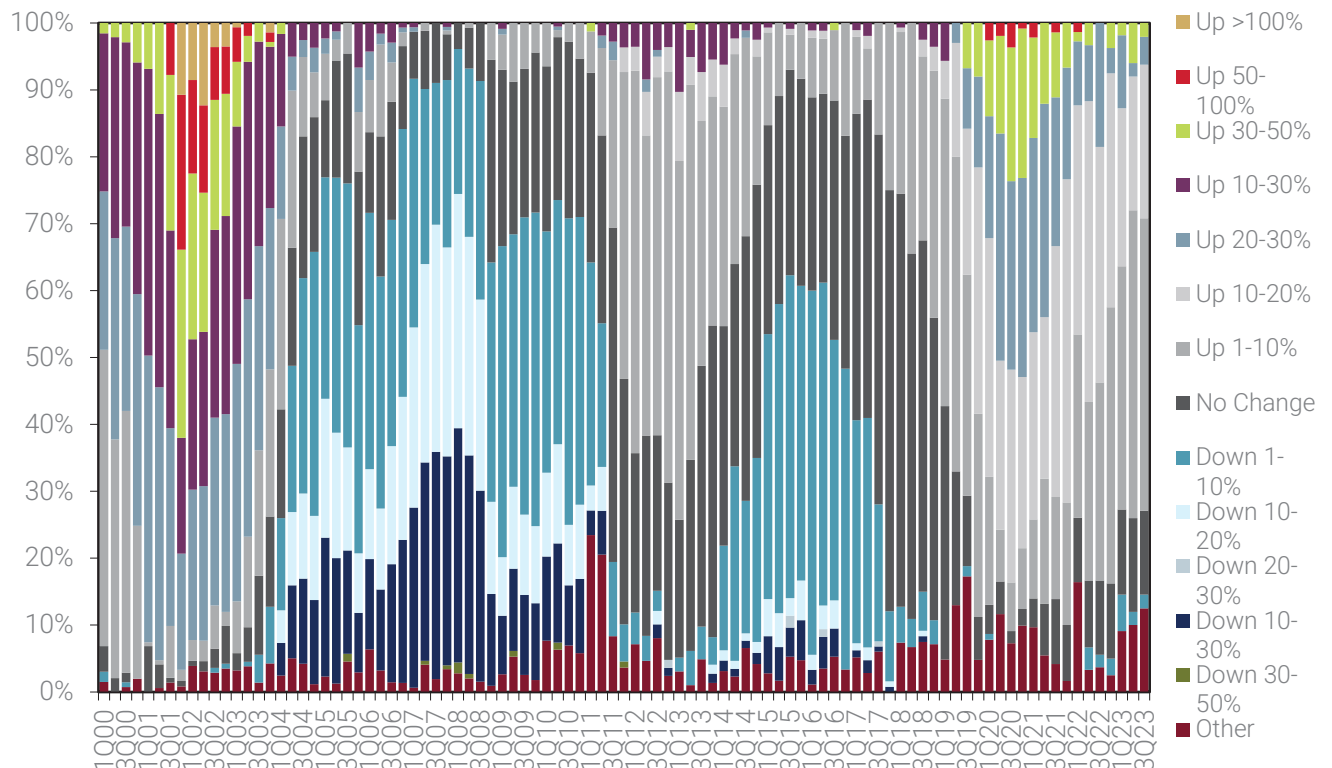
Commercial General Liability Insurance Rate Changes

Percentage of Survey Respondents



Umbrella Insurance Rate Changes

Percentage of Survey Respondents



Business Interruption Insurance Rate Changes

Percentage of Survey Respondents

